



5th Pillar
Family Takaful Limited
آئیے، ساتھ چلیں



FUND MANAGER REPORT

MAY | 2024

5th Pillar Family Takaful Limited - Conservative Fund

For the month of May- 2024

Investment Objective:

The main objective of fund is to provide the stability in returns by investing in low risk shariah compliant fixed income instruments with strong credit rating.

Fund Information

Fund Category	Money Market
Risk Profile	Low
Launch Date	18-Jul-23
Nav per unit at launch Date	100.0000
Nav per unit at month End (May-2024)	114.7935
Pricing Mechanism	Daily Forward pricing
Pricing Frequency	Monday to Friday
Total Net Assets (Rs.)	64.7 M
Weighted Avg.time to Maturity	0.7 Year
Expense Ratio	0.28%
Management Fee	1.75% p.a.
Benchmark	60% weightage of Meezan Cash Fund & 40% average of 6M deposit rate of 3 AA-rated of Islamic banks or Islamic windows of Conventional banks

Asset AllocationMay-24

GOP Ijarah Sukuks	69.97%
Mutual Funds	13.65%
Bank	7.34%
Others	9.04%

Fund ReturnsMay-24

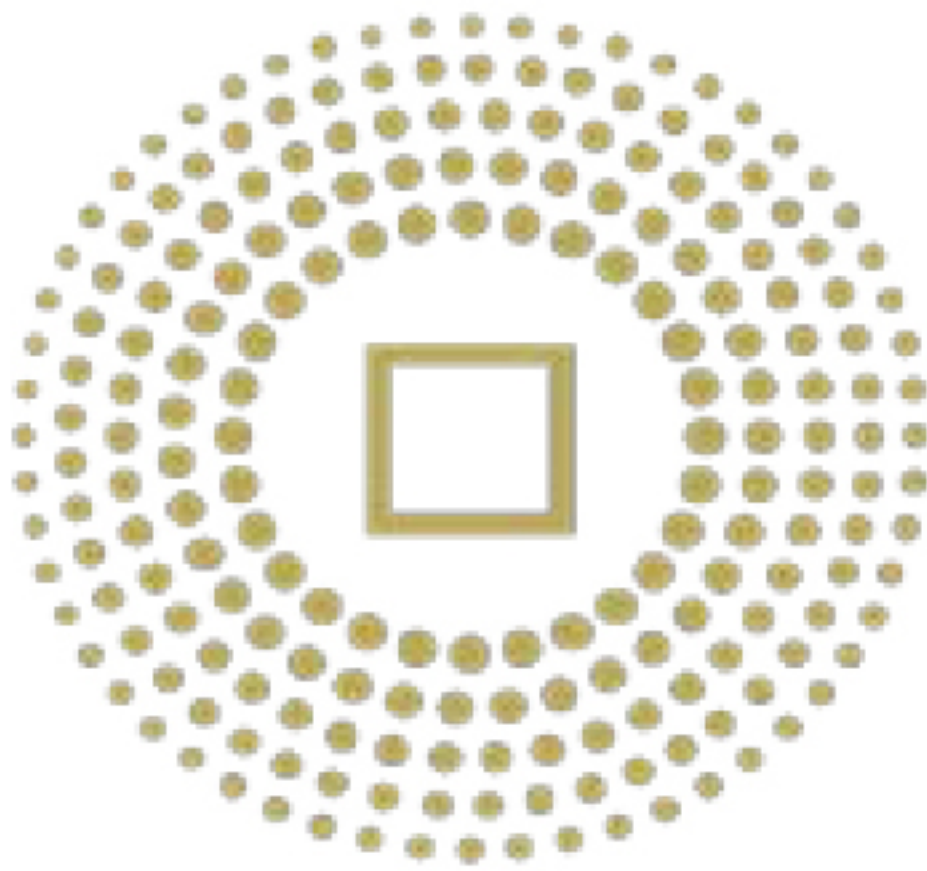
Return on (MoM) basis	11.63%
180 days return	19.62%
Return since inception (annualized)	17.16%
Last 365 days return	N/A
Last 05 years (annualized)	N/A
Last 10 years (annualized)	N/A

Fund Manager's comments

The equity market continued its upward trajectory in May-24, fueled by several positive developments, including, 1) Progress in talks with the IMF for a new longer-term program, 2) UAE’s announcement of USD 10bn investment commitment in Pakistan, 3) Declining inflation leading to expectations of monetary easing, and 4) The country posting a Current Account surplus of USD 491mn in Apr-24. Accordingly, the KSE-100 and KMI-30 indices closed at 75,878pts (up 6.7% MoM) and 125,780pts (up 5.3% MoM), respectively.

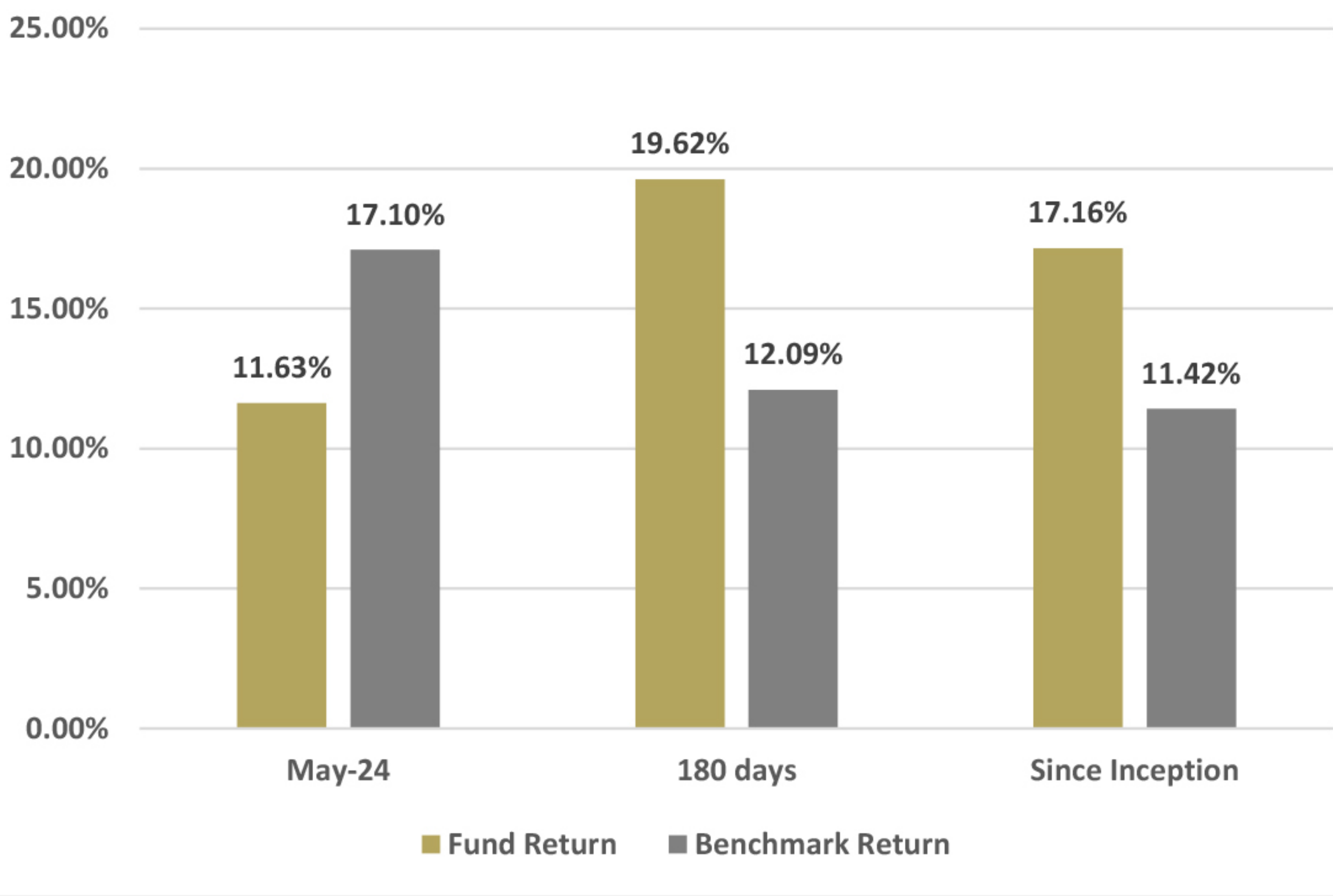
On the economic front, CPI for May-24 clocked in at 11.8% YoY, significantly lower than 17.3% YoY witnessed in Apr-24, and average 11MFY24 inflation of 24.5%. On a MoM basis, CPI declined by 3.2%, primarily because of 7.8% and 1.3% decrease in the prices of Food items and Housing, Water and Electricity, respectively. Accordingly, the Monetary Policy Committee (MPC), in its meeting held on 10-Jun-24, reduced the Policy Rate by 1.5% to 20.5%. The MPC noted that the underlying inflationary pressures were subsiding amidst tight monetary policy stance, supported by fiscal consolidation. At the same time, the MPC viewed some upside risks to the near-term inflation outlook associated with the upcoming budgetary measures and uncertainty regarding future energy price adjustments. The country achieved another Current Account surplus of USD 491mn in Apr-24, compared to a surplus of USD 434mn in Mar-24. This was primarily because of decrease in trade deficit, which declined by 9.0% MoM to USD 2.0bn, compared to USD 2.2bn in Mar-24.

Going forward, our long-term view on the equity market remains positive on account of the new government’s inclination towards entering into a new, longer-term, IMF program, based on which it is expected that structural reforms are going to continue. Moreover, with inflation on a downward trajectory, we believe that monetary easing will continue throughout the remainder of the year. Resultantly, domestic institutional investors are likely to shift their investments from fixed income towards equities, leading to a sustained rally in the market.



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Fund's Performance



Asset Allocation

